
14.6 SIGNIFICANCE OF THE CONCEPT AND THEORY OF SEARCH UNEMPLOYMENT

From what has been said earlier, you understand the significance of the theory of search unemployment as an attempt to endow realism to the elegant neoclassical model of employment and output. You should also understand the practical significance of the concept of search unemployment as it has worked itself out in the United States and in some of the countries of the European Union.

The idea of search unemployment gained importance in the US economy in the 1990s when the social security system was being restructured in that country. It is easily understandable that the ability and desire of a person to keep looking for a better job and to remain unemployed in the mean time depends in part on the availability of unemployment benefits under such a system. The unemployment that arises when a person quits a job to have more time to look for a better job, or when an unemployed delays accepting a job in the hope of finding a better one, is of course the search unemployment that we have been discussing. If all jobs are the same, an unemployed person will take the first one offered. If some jobs are better than others, it is worthwhile searching and waiting for a good one. The higher the unemployment benefits, the more likely people are to keep searching for a better job, and the more likely they are to quit their current job to try to find a better one. It was consideration of these kinds that prompted the United States to restructure their unemployment benefits system in the 1990s. If unemployment rates in the European Union are by and large higher than those prevailing in the United States in recent years, part of the explanation is the fact that it is not as easy, as in the countries of the European Union, to obtain unemployment benefits in the United States after the revamping of their unemployment benefits system.

Check Your Progress 4

1. Explain briefly the ways in which the search model of Pissarides goes beyond the Howitt model.

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2. Why should a sectoral shift in labour demand generate higher aggregate unemployment?

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3. How will you use the concept of search unemployment to explain the differences between the United States and the European Union vis-à-vis their unemployment rates?

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14.7 LET US SUM UP

The Neo-Classical theory of employment and output is theoretically elegant, but does not accord with the empirically observed fact of prolonged periods of high unemployment. The search theory of unemployment attempts to remedy this drawback of the Neo-Classical theory. The existence of unemployed workers in the context of the Neo-Classical model would imply a fall in wages in the market for labour. In the context of search and matching models, though, the labour market is not a market for a homogenous commodity, but is characterised by heterogeneity. Each job is unique and requires the unique skills that are embodied in an individual worker. Unemployed workers are matched with existing vacancies not through the market, but through a complex process of search and match. This generates a frictional kind of unemployment. Indeed the origins of the search and matching models can be traced all the way back to Pigou's explanation of the inter-war unemployment as the unemployment of workers moving between jobs. More recent approaches to the theory involve construction of models wherein the unemployment emerges as an equilibrium phenomenon when, for example, firms decide on hiring by equating the marginal benefits and costs of hiring, where the costs include search costs. Such an equilibrium rate of unemployment is not a social optimum due to the divergence between, e.g., private and social benefits of hiring. Such models can be used to explain variation of unemployment over time by postulating shocks to productivity, as in the models of real business cycles. Unemployment can also emerge in models where sectoral, as versus aggregate, shocks are postulated to productivity/demand, in the context of frictions in moving from one job to another.

14.8 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1. Walrasian general equilibrium model is inconsistent with involuntary unemployment. Labour market in this model is assumed to be competitive and it always clears through wage adjustments at a point where labour demand is equal to labour supply.

Any unemployment in the model is hence voluntary, i.e., of those who do not want to supply labour at the going wage rate.

2. Your answer to this question should be based on Section 14.2. If the firm accepts the offer of the outside worker and employs him/her at a lower wage, you are in the realm of the neoclassical model. If the firm believes that the outsider-workers do not necessarily possess the skills of the insider-workers you are postulating a search and matching model. If the firm is unable to lower the wage fixed through collective bargaining, in spite of the firm wanting to accept the outsider worker's offer to work at the lower wage, you are subscribing to a contracting theory of unemployment. Finally, if you postulate that the firm does not reduce wage because it believes that its benefits exceed the cost of paying a higher wage, then you are working in the realm of New Keynesian theories like the efficiency-wage theory.

Check Your Progress 2

1. The neo-classical model was theoretically elegant, but did not accord with the observed phenomenon of high and varying unemployment in the real world. It was hence necessary to augment the model to bring it more in tune with reality. The search theory attempts to do this by modelling unemployment as an equilibrium phenomenon.
2. Frictional unemployment is unemployment of workers moving between jobs. In the search models workers are unemployed because they do not take up the first job that is offered to them and keep searching to find the best job that matches their skills. The unemployment is frictional, in as much as workers and jobs are not continuously matched.

Check Your Progress 3

1. You will have to explain this by using the model expounded in Sub-sections 14.4. 1 and 14.4.2. Alternatively, you could use ideas from two or three different search models to explain why unemployment occurs as an equilibrium phenomenon in such models. You will be helped further in this by the alternative models in Section 14.5.
2. Answer to this question is in Sub-section 14.4.3. Hiring generates a private benefit, but imposes a social cost to other firms that is not accounted for by the hiring firm. There is also a divergence between the private and social benefits generated by hiring.
3. Refer to Sub-section 14.4.4 to be able to answer these questions. The variability in unemployment is explained by productivity shocks that change the benefit of hiring and hence generate more or less unemployment in equilibrium. The pro-cyclical response of real wages is explained by the fact that, in the model, workers obtain a constant share, and an increase in productivity leads to an increase in real wages. Real wages increase to a smaller extent if the share of the workers is smaller compared to the share of firms in output.

Check Your Progress 4

1. Unlike the Howitt model, the Pissarides model specifies the search technology used by the workers and firms. Further, the Pissarides model also helps in understanding the factors determining the share of workers in output.
2. In a frictionless world, a sectoral shift in demand cannot generate unemployment because a decrease in employment in the declining sector is made up for by an increase in employment in the expanding sector. However, if, for example, it takes time for labour to relocate perhaps due to search and matching considerations, labour released from the declining sector can be unemployed in the interim that it locates itself in the expanding sector firms.
3. You will have to explain the difference in the unemployment rates between the US and the EU with reference to the differences in the two regarding obtaining unemployment benefits. The more liberal scheme in the EU means that a larger number of workers can remain unemployed over longer period of time in search for a better job. However, this is not the full explanation of the observed differences in the unemployment rates.